

GemBreak — Affiliate / Influencer Fee Structure & Unit Economics

_Compiled 2026-07-24. How competitor mystery-pack sites structure promo-code deals (user-side incentive + influencer-side offer), and — given GemBreak pays a product cost AND cashes back most of the pack price — how to structure affiliate fees so the program is ALWAYS profitable. Pairs with THEBADDEST_OUTREACH_CAMPAIGN.md and GEMBREAK_MASTER_STRATEGY_2026.md._

Part 1 — How competitors structure promo-code campaigns (audit synthesis)

Every site runs the **same dual-benefit code**: one code that rewards the audience AND pays the creator, so the audience *wants* to enter it (not just the creator to share it).

Site	What the USER (audience) gets via the code	What the INFLUENCER gets
PackDraw	Permanent 5–10% deposit bonus on every deposit	Per-open commission on their custom packs + deposit-based % — exclusivity required (can't promote rivals or your % resets to 0)
HypeDrop	5% deposit bonus + 3 free boxes	0.6% → 10% of every referred deposit, tiered up by volume (withdrawable anytime)
Jemlit	Free box + deposit boost	8% of every friend's deposit (recruited programmatically via Indoleads network)
Clash.gg	5% deposit bonus + daily free case + rakeback	Commission + 3% on custom-case opens ; >\$3M paid to affiliates
Cases.gg	Daily free boxes + deposit bonus	Up to 45% revshare on active referred players; custom-box building unlocks at level 5; >\$3M paid
RillaBox	20% deposit bonus + daily free box	Two-sided: \$7 to referrer / \$4 to friend when friend deposits ≥\$25
CSGORoll	3 free cases + 5% deposit bonus	Tiered % of referred deposits + event invites; \$8.7M earned by top influencers collectively

Sweepstakes-casino benchmark (the mainstream-scale version): CPA **\$25–120**/qualified player · RevShare **25–45% of NET** · Hybrid (**\$25–50 CPA + 15–25% revshare**) · 30–90-day cookie. Stake.us goes to 45% revshare + 10% of house edge.

The three patterns to copy

1. **Dual-benefit code** — user perk + creator payout on one code (self-propagating).
2. **Commission on referred DEPOSITS / NET, tiered by volume** — never a flat fee per post.
3. **Custom-pack ownership** — the highest-value hook: creators earn per-open on packs they build (turns them from endorsers into storefront owners). *This is our biggest structural opportunity.*

Part 2 — ⚠ The margin trap (why this needs its own math)

A mystery-pack site is **not** a normal e-commerce store with 50% product margins. Two costs eat the pack price:

1. **Product/inventory cost** — the items in the pack.
2. **Cashback / RTP** — you return most of the pack price as pull value (users can sell back / cash out).

Mystery sites run **high RTP (≈85–95%)** to stay attractive (Stake Cases advertise 98% RTP).

So your real margin per pack is small — the "house edge," not the pack price.

Worked example. Pack price **\$100**, RTP **90%** → you pay out **\$90** in pull value → ****gross**

margin = \$10/pack (10% house edge). **Now pay an affiliate the "industry-sounding" 20% of pack**

price = \$20. **You just** lost \$10 on every pack they sell.** The more they sell, the more you lose.

This is the #1 mistake to avoid: never pay commission on gross pack sales or gross wager. At a 10% house edge, any gross-based commission above ~10% is unprofitable *before* payment fees and user bonuses.

Part 3 — The rule that makes it always profitable

Pay commission on NET REVENUE — the money you actually keep — not on gross pack sales.

Define the waterfall (this is the sweepstakes/iGaming standard, adapted):

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Gross pack sales (from the code's referred users)
- Cashback / pull value paid out (RTP)
- Product / fulfillment cost
- Payment processing (~2-3%)
- User promo bonus (the code's deposit match/free pack)
= NET REVENUE (NGR) ← commission is a % of THIS
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= GROSS MARGIN (house edge)

Because commission is a **share of money you already netted**, the program is ****self-financing by construction**** — you can never pay out more than the profit the creator generated. This is the single most important design decision.

Equivalent simpler proxy (easier to track): Net Deposits = deposits – withdrawals/cashouts from the code's users. Over a player's lifetime, net deposits ≈ what the house keeps (the RTP just determines how long the money churns before the edge captures it). Revshare on net deposits ≈ revshare on NGR and is just as safe. Use whichever your platform tracks cleanly.

Two guardrails borrowed from iGaming (both protect you)

- **Negative carryover:** if a creator's referred cohort is net-negative in a month (big winners cashed out), that shortfall **carries forward** against their next month's commission — so one lucky whale doesn't cost you a commission on a loss.
- **Bonus & fee netting:** the user-side incentive (deposit bonus / free pack) and payment fees are subtracted **before** the commission %, so the creator shares net-of-promo profit, not gross.

Part 4 — The tiered deal structure (what to actually offer)

All tiers pay backend commission **on NET REVENUE**. Tiers differ in the **upfront** and the %.

Illustrative economics (replace with GemBreak's real numbers)

- House edge (gross margin): **10%** of pack sales · Payment fees: **3%** · User bonus: **5%**
- ⇒ **NGR ≈ 2% of gross pack sales** in a naive single-pass... **BUT** with replay/churn, ****NGR ≈ net deposits**. **Assume avg** 90-day net revenue per activated depositor = \$80** (whales lift this).
- Avg first deposit ~\$50; qualified depositor = deposits ≥ \$20.

Tier	Who	Upfront	Backend (revshare on NGR / net deposits)	Signup bounty (CPA)	Guardrail
Micro / Nano	<50K, most of the list	\$0	30–40%	optional \$15–30 per qualified depositor	CPA capped < \$80 LTV; pure performance
Mid	50K–500K	Recoupable advance \$250–1,000	25–30%	— (rolled into advance)	Advance recouped from their backend before further payout ; size to confidence
Large / Hero	500K+ / proven	Flat content fee \$1,000–2,500 (non-recoupable) + whitelisting +25–30%	20–25%	—	Fee justified by Spark-Ad amplification ROAS , not affiliate alone (Engine 2 budget line)
Custom-Pack Partner	any tier, high-fit	\$0–advance	per-open commission on their branded pack (e.g. 3–5% of pack price <i>from the house edge</i>) + referral revshare	—	Per-open % must sit inside the house edge

Why each upfront is safe

- **Micro = \$0 upfront, higher %:** you pay only from realized net revenue. The higher 30–40% share is affordable *because* it's a share of profit, and it makes "no advance" attractive to volume creators.
- **Mid = recoupable advance:** you advance \$250–1,000, but it's ****recouped from their own backend commission**** before they earn more — like a record-deal advance. Worst case (cohort underperforms) you eat the gap between advance and earned commission, so ****size the advance to ~1 month of their expected 25–30% revshare****, not to their follower count.
- **Large = flat fee + whitelisting:** this is really **Engine 2 (paid amplification)** — you're buying content + ad rights whose ROAS you measure directly (only amplify proven organic winners), plus a lower backend %. Different budget line from pure affiliate.

Worked P&L per tier (illustrative)

- **Micro, 35% revshare:** referred cohort nets **\$2,000** over 90 days → creator earns **\$700**, you keep **\$1,300**. Cost only when profit exists. ✓
- **Mid, \$500 advance + 25%:** cohort nets **\$4,000** → 25% = **\$1,000**; minus \$500 recouped advance → **\$500 more paid**; total creator **\$1,000**, you keep **\$3,000**. ✓ (If cohort only nets \$1,200 → 25% = \$300 < \$500 advance → you're **–\$200** on the advance: the sized risk of the mid tier.)
- **Large, \$1,500 fee + 20% + \$2,000 Spark spend:** judged on blended ROAS; amplify only if the organic video already over-indexed. Affiliate backend is upside on top.

Part 5 — The user-side incentive (fund it from margin, count it before commission)

What the code gives the audience (pick 1–2, keep it inside the margin math):

- **Free first pack / no-deposit bonus** — lowest friction (biggest signup lift). Cost = one pack's edge.
- **Permanent 5–10% deposit bonus** (the PackDraw/HypeDrop standard) — ongoing reason to keep the code.
- **Bonus packs / daily free pack** — habit loop.

Every one of these is subtracted in the NGR waterfall **before** the creator's commission — so the creator shares the profit *after* the audience perk, and the perk never pushes you underwater.

Part 6 — Anti-leak / fraud guardrails (protect the margin)

- **Min-deposit qualification** (\$20) before any CPA/bounty triggers — kills bonus-only tourists.
- **New-customer-only codes** + coupon-site monitoring (cap leaked codes).

- **Self-referral & bot detection**; clawback rights in the contract.
- **Negative carryover** (Part 3) so cashed-out winners don't generate a commission.
- **KYC at cash-out** — the compliance + fraud chokepoint (also the legal-moat point from the master strategy).

Bottom line

1. **Never pay on gross pack sales** — at a ~10% house edge, gross-% commission loses money.
2. **Pay a % of NET revenue / net deposits** — self-financing; you only ever share realized profit.
3. **Micro = \$0 upfront + 30–40% backend + small capped CPA. Mid = recoupable advance + 25–30%.**

Large = flat fee + whitelisting + 20–25% (Engine 2).

1. **Custom-pack ownership** (per-open % inside the house edge) is the highest-alignment, most scalable hook — build it.

1. **Netting + negative carryover + min-deposit + KYC** keep every tier structurally profitable.